

Verdant Health Advisory LLC

www.verdanthhealthadvisory.com

February 3, 2023

Lopez, McBride and Evans

Attention: Angela Mahoney, General Manager

Dear Ms. Mahoney:

We are grateful for the confidence Lopez, McBride and Evans has placed in us, and we are writing to put down in one place, and in plain terms, the understanding on which we will carry out the ambulatory network study we have discussed with you and your colleagues over the last several weeks. Our aim is not to paper the relationship but to make certain that what we believe we have been asked to do, and the terms on which we have agreed to do it, are the same as what you understand them to be, so that we begin the work already agreed on its shape. If any part of this letter does not match your understanding, we would be glad to hear about it before you sign, and we will gladly revise it.

Scope of Our Work

You have asked us to assess the economic performance of the ambulatory surgery network that Lopez, McBride and Evans operates, and to help you see which of its service lines are carrying their share and which are not, so that the choices you make about capacity, staffing, and case mix rest on figures you are able to defend. We will assemble and reconcile the volume, charge, cost, and payer data that your finance and operations teams maintain; we will build a service-line view of contribution that ties back to your general ledger rather than floating free of it; and we will set our conclusions out in a written report in which the recommendations that follow are labeled plainly as recommendations, so that a reader can always see where the analysis ends and our judgment begins.

So that the edges of the work sit on the page rather than in anyone's memory, the study does not include a fair-market-value opinion on any physician arrangement, an audit of your financial statements, or advice on any particular transaction, and it does not reach any facility or entity beyond the ambulatory network we have named; each of those is work we are able to take up, and each would be the subject of its own letter. Our conclusions will describe the network as your data describes it to us, and should the underlying operations change in a way that bears on what we find,

the analysis may no longer fit the network you are running, which is a limitation we want on the record from the start.

How We Will Approach It

We expect the work to move through three phases, and we describe them here so that you know what to expect of us and roughly when. In the first, we will gather and reconcile the source data alongside your teams and agree with them, in writing, on the definitions we are using, since a service-line study is only ever as trustworthy as the boundaries drawn around each line.

In the second, we will build the contribution analysis, reconcile it to your ledger, and test the assumptions that carry weight before we rely on any of them. In the third, we will write the report, review a draft of it with you so that any factual error about your operations is caught while it is still inexpensive to correct, and then deliver the final version with our recommendations kept distinct from our findings.

The People Who Will Do the Work

Daniel Alvarado, a Principal in our advisory practice, will lead the analysis and put his name to the report; service-line economics is the work he knows best, and he will be your point of contact on any question of method or finding. Barbara Freeman and Joshua Dougherty, analysts with us, will carry the data reconciliation and the contribution model, and you will see a good deal of them as they work with your finance and operations staff.

I will keep a partner's eye on the engagement throughout, and I will remain available to you on any matter of scope, staffing, or terms; if at any point the work or the people are not serving you as they should, I would ask only that you bring it to me early, while it is still easy to put right.

Fee and Timing

Our fee for the work described above is \$54,500, fixed for that scope, and we are prepared to begin on February 13, 2023. Any work you ask of us that falls outside the scope set out here will be quoted to you separately, and taken up only once we have told you in writing that it is additional and you have asked us, in writing, to proceed.

Fees and Payment

We will invoice against the fixed fee monthly as the work proceeds, and each invoice is due within thirty days of its date. Any out-of-pocket costs will be billed at cost and

are not covered by the fee. We would always prefer to raise a question about an invoice with you directly and early, and we would ask the same courtesy of you.

Term and Termination

The engagement begins on the date named above and continues until we have delivered the final report and you have settled the fee for it. Either of us may bring it to an end on written notice, in which case you would owe us for the work properly done and the costs incurred to that point. We may also step back where our professional obligations require it, including were we ever asked to state a conclusion the analysis does not support, which is not a letter this firm will write.

Confidentiality

We will treat the information you share with us as confidential, use it only for this study, and hold our findings and our report in that same confidence. Because your data carries operational and financial detail you would not want circulated, we keep it within the team named above and dispose of it properly once the work is complete. We would ask, in turn, that you route any question about wider distribution of our report through us first, so that we can point out anything that ought to travel carefully.

Limitation of Liability

Our total liability arising out of this engagement is limited to the fees actually paid to us under it, and we are not responsible for indirect or consequential losses, lost profits among them. We say this not as a formality but because a service-line study is a considered judgment formed on the data available at a moment in time, and it cannot promise an outcome that turns on decisions and conditions lying outside our work. What you are engaging is our care and our judgment, exercised honestly and set out with their limits, and that is precisely what we undertake to give you.

Governing Law

This letter, and the work it describes, are governed by the law of the state in which our firm keeps its principal office, without regard to its conflict-of-laws rules. Should a disagreement over fees ever arise between us, we would each take part in that state bar's fee-dispute process before either of us carried the matter elsewhere.

If this letter sets out our understanding correctly, we would be grateful if you would sign the enclosed copy and return it to us, keeping the second for your own files; on receiving it, Daniel Alvarado will be in touch to arrange the opening session and the

first request for data. We are glad to be taking up this work for Lopez, McBride and Evans, and we look forward to being of real and lasting use to you.

Laura Brown

Managing Partner

Date: February 3, 2023

Angela Mahoney

General Manager, Lopez, McBride and Evans

Date: February 3, 2023